



Petty Cash

*Small amount of cash on
hand*



WHAT IS PETTY CASH



Petty cash is a small amount of cash on hand that is used for paying small amounts owed; rather than writing a check or small amount of cash kept on hand for making immediate payments for miscellaneous small expenses.

Rules

- You need to save all the cash in a safe place
- Counting amount of petty cash every month and making a written note about it at the beginning and at the end of each term. In this note it needs to be written who is responsible for the cash and how much money there is for the exact date. LCP/MCP, VPF and one additional person need to be present and sign this note.
- All money paid or received in cash need to be documented with vouchers and receipts.
- All the payments can be written in a cash book to double check with accounting records later.



WHAT IS A PETTY CASH VOUCHER

The petty cash vouchers serve as proof of cash spending or purchase advances to employees (members) in case the responsible or internal auditor makes an unannounced audit of the petty cash fund. The vouchers also serve as documentation showing what expenditures were made with petty cash and are used to prepare the petty cash journal when the fund is replenished.

A petty cash voucher typically includes the following information:

- Voucher number
- Organization name (usually stamp)
- Date
- Amount of money
- Expense account
- Vendor name
- Signature

Example

Petty Cash Voucher No. _____	
Date:	_____
Vendor:	_____
For:	_____
Expense Account:	_____
Net Amount Spent:	\$ _____
Signed by:	_____
	<i>(employee who made the purchase)</i>
Approved by:	_____

HOW TO USE PETTY CASH



- 1** You need to have box big enough to keep all the money and receipts in, but small enough to be inconspicuous and easily hid. Make sure you get one with a money tray so the bills and change can be easily organized.
- 2** Assign responsibility: usually the MCVP F/LCVP F is in charge of petty cash and account. The person you assign should be generally available to any members who might have need of petty cash.
- 3** Once you have the basics covered, you need to put sufficient money into petty Cash to handle most cash purchases for the time period you choose. The money should be placed into the petty cash box.





HOW TO USE

PETTY CASH

part II

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Establish the petty cash fund on the accounting record of the entity. Cash, Bank and petty cash account are both asset account. When initially opening the petty cash fund, cash is simply transferred from asset account to another with no effect on the balance of the entity assets.

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Once there is enough cash in the petty box, the operations can start using it for small transaction. The MCVP F/LCVP F should require a receipt for each petty cash purchase. When presented with the receipt of purchase, the MCVP F/LCVP F should note the date and the name of the purchaser on the receipt and deposit the receipt in the petty cash box

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After sorting and totaling the receipts in each of the expense categories, the accounting should properly record the expenses associated with the petty cash receipts

- MCVP F/LCVP F should credit the cash account first for the total amount of the reimbursement to petty cash, which reduces the balance of the main cash account by the same amount.
- MCVP F/LCVP F should then debit the individual expense accounts for the sums spent in each. The total debit in the expense account will equal the credit of the petty cash account (for example if you have \$200 in petty cash receipts, you would then need to record that \$200 in the appropriate accounts. If it all the \$200 were “overhead cost office”, you would debit the overhead cost office account \$200).
- The accounts for each type of expense will increase by the amount spent in each category to show that the entity spent that much on those items. Then, the net income of the entity will decrease by the amount spent on the expense statement.



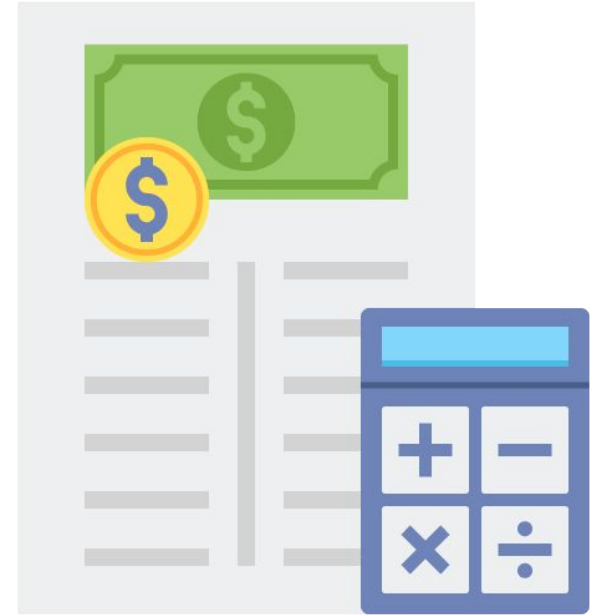
WHAT IS CASH BOOK



A cashbook is a simple accounting tool that is a reliable method of recording basic information of all financial cash transactions. It is an easy tool that allows you to know how much money is coming in and what bills are getting paid.

By using a cashbook you know exactly how much cash your entity has and where you have spent your cash on. The cash book should be a record of transactions that are legitimate business expenses and, thus, in order to expense them you need to transfer the records of these transactions to your general ledger. Furthermore, the cash book is useful for your accounting, because it allows you to record all cash payments systematically and provides information about cash management more easily. Moreover, your cashbook is supposed to be part of your entity's petty cash fund. Petty cash fund is the amount of money that is reserved for purchases that are not expensive and that are not convenient to make by using a credit card.

Def Ledger: *a book that a company use to record information about the money it has paid and received*



HOW TO USE A CASH BOOK

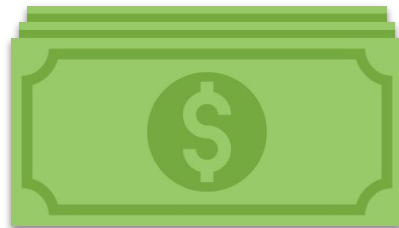
All the headlines do speak for themselves: LC, Name, Month (/quarter/week, depends how often you want to record everything) and page.

In order to start working with your cash book you write down your petty cash fund on opening balance: this is the amount of cash where you start with.

When you used your entire petty cash fund, you need to add more money by withdrawing from your bank account and transferring to your petty cash fund, while noting this transaction in your banking ledger. Make sure that you use appropriate categories in the description field.

Disclaimer

- You may not confused this with Cash Flow Statement, this tool is only for petty cash management for those cases that need to use cash in hand for small payments.
- Cashbook does not replace the accounting records, you still need to do the records in your accounting software.
- Cashbook is a tool to follow the small expenses.



Find a Template [HERE](#)

EXAMPLE

Cashbook						
LC/MC	Responsible Name			Month	Year	Page
ABC	John Smith			March	2021	1
Date	Description	Receipt Nr.	Contra Account	Cash-in	Cash-out	Stock
1/3/2021	Opening balance					60.00
3/3/2021	Payment supermarket	300 03 01	1501		34.32	25.68
5/3/2021	Withdrawal bank			23.20		48.88